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FX Forecast Update

Rebound in real rates to support USD, weigh on Scandies

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FX market overview

Recent developments: Goldilocks environment amid signs of a weaker US labour market

- Since our last FX Forecast Update on 19 August, a Goldilocks environment has emerged for high-beta currencies, with AUD, NOK, and SEK standing out as relative winners among the Majors. Improved risk sentiment has been the primary driver, with a negative yield-to-equity correlation stemming from weak US labour market data – soft enough to push the Fed towards cutting rates but strong enough to avoid triggering recession fears. Markets have seen credit spreads tighten, equities rally and a bullish flattening of the US yield curve. The US political backdrop, including concerns over Fed independence, and geopolitical uncertainty have increasingly become market themes.

FX implications: softness in USD and a boost for cyclically sensitive currencies

- Following the USD's strong run in July, the tide has reversed in August and September amid mounting evidence of a softer US labour market and the Fed's return to cutting. As a result, EUR/USD has pushed through 1.18, reaching its highest level in four years. The risk-on environment has supported cyclically sensitive currencies, including Scandies. SEK has benefited from constructive global risk sentiment, a generally weaker USD and some positive domestic macro surprises, albeit from depressed levels. NOK has enjoyed a strong late-summer cocktail of economic data surprises in Europe, substantially lower USD rates following a Fed focus on the labour market and finally higher NOK rates on markets pricing out Norges Bank rate cuts. Meanwhile, EUR/GBP has been trading within a narrow range of 0.86-0.87.

Outlook: bearish on the USD and Scandies

- We still see EUR/USD on an upward trajectory, targeting 1.23 on a 12M horizon, supported by rate differentials, a recovering European asset market, reduced global demand for restrictive policy, and continued tailwinds from hedge ratio adjustments and diminished confidence in US institutions. We remain strategically bearish on the USD but see scope for a near-term rebound, as we do not expect the Fed to ease as aggressively as markets price. For SEK, we do not expect relative monetary policy to provide sustained support; instead, the low growth–high inflation mix is likely to remain a cyclical headwind. For EUR/NOK, we stick to an upward sloping profile though lowering the full profile after the latest NOK performance. We continue to see relative unit labour costs and the global investment environment as the long-term drivers for the cross.

Key risk to our forecasts: greater downside risk to USD than entailed in our projections

- Risks to our forecasts are predominantly tied to the US outlook. If the capital rotation out of US assets continues and a sharp US recession hit, EUR/USD could break substantially higher than our forecast suggests. In this environment, commodity currencies would also face a larger hit. Conversely, persistent resilient US data and/or renewed euro area weakness that could prompt the ECB to cut again this year could keep the USD stronger-for-longer. We highlight that a stagflationary shock to the US economy might not necessarily be positive for the USD - even if the Fed refrains from cutting rates (or delivers hikes) – as the US investment case in such a scenario would suffer.

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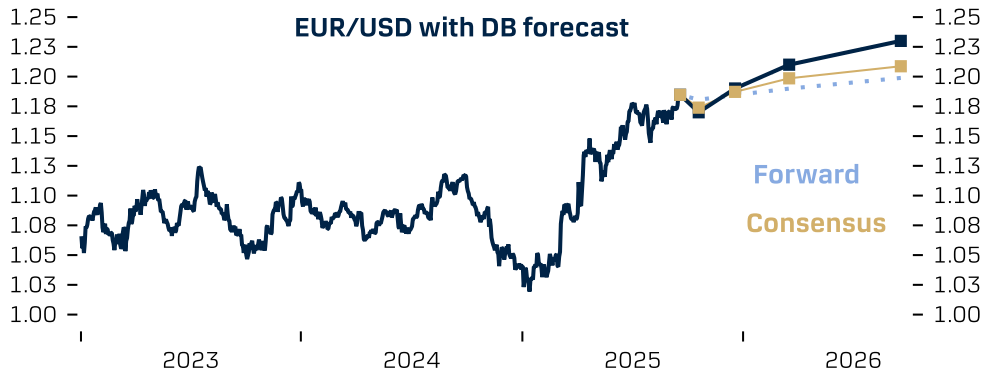
EUR/USD – strategic bullish case gains traction

- **Cyclical outlook.** Recent US data show that growth momentum – and particularly the labour market – is cooling. While inflation remains above the Fed's 2% target, price pressures are relatively contained, with no material evidence yet of tariff-induced inflation. The August jobs report extended the weakening trend in payrolls, suggesting that the labour market has been less resilient than initially believed following "Liberation Day." August CPI came in slightly above expectations on both headline and core measures. We continue to expect prices to rise modestly and growth to cool through H2, though the risk of a more pronounced slowdown appears limited at this stage. In the euro area, growth is generally holding up better than expected. Euro area businesses have held up well over the summer despite tariff uncertainty, and downside growth risks look smaller now that the EU and US have reached a trade deal. We expect euro area inflation to average 2.1% in Q4 before falling below target, averaging 1.8% y/y in 2026.
- **Monetary policy.** The Fed delivered a 25bp cut at its September meeting, in line with expectations. While markets are pricing sequential cuts in October and December, we believe the data favours a more gradual approach and expect the Fed to cut again in December. In the euro area, recent developments suggest the ECB has concluded its rate-cutting cycle for this year. All else equal, monetary policy favours downside in EUR/USD in the near term.
- **External balances.** Fundamentally, the case for 'US exceptionalism' is fading, leaving the greenback increasingly exposed.
- **Valuation.** We estimate EUR/USD fair value over a 1–3Y horizon to be just above 1.20, making valuation a structural tailwind for the cross. Key factors to watch include potential structural capital rotation out of US assets, the evolving global energy landscape, and euro area fiscal policy.
- **Positioning.** CFTC IMM data shows that non-commercial EUR/USD positioning is broadly neutral from a historical perspective.

Forecast: 1.17 (1M), 1.19 (3M), 1.21 (6M), 1.23 (12M)



	1M	3M	6M	12M
Danske Bank	1.17	1.19	1.21	1.23
Consensus	1.17	1.19	1.20	1.21
Forward	1.18	1.18	1.19	1.20

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Risks to our forecast include stronger-than-expected US data and/or renewed euro area weakness that could prompt the ECB to cut again this year.
- **Conclusion.** Following the USD's strong run in July, the tide has reversed in August and September amid mounting evidence of a softer US labour market and the Fed's return to cutting. We remain strategically bearish on the USD but see scope for a near-term rebound, as we do not expect the Fed to ease as aggressively as markets price. Any such strength would be tactical, as we still see EUR/USD on an upward trajectory, supported by rate differentials, a recovering European asset market, reduced global demand for restrictive policy, continued tailwinds from hedge ratio adjustments, and diminished confidence in US institutions.

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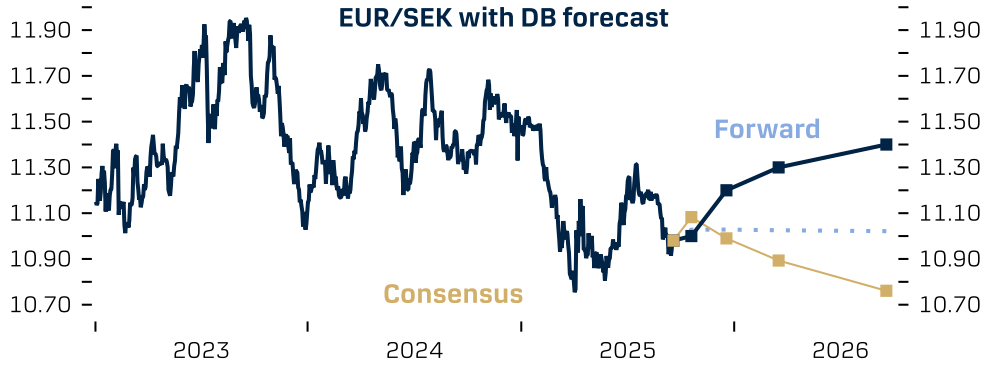
EUR/SEK – tactical and strategic upside persists

- **Cyclical outlook.** The Swedish recovery has once again been delayed. We have lowered our projections and now expect GDP to grow at a modest 1.1% (1.6%) 2025 and 2.0% (2.5%) 2026. While consecutive GDP in Q2 surprised on the upside only by being positive, soft data suggest that the economy will just barely move forward in the second half of the year. In addition, the labour market continues to deteriorate. That said, the proposed fiscal package of a hefty SEK 80bn (>1% of GDP) will probably help the recovery going forward depending on design. Given the weak backdrop, data have managed to surprise on the upside recently, which has lent support to the SEK.
- **Monetary policy.** We expect that the Riksbank (RB) leaves the policy rate at 2.0% next week given the high inflation outcomes. The decision should be accompanied by a clear easing bias, though, with preparedness to cut rates later this year if the disinflation process continues. We expect a cut to 1.75% in November. Medium term, we deem monetary policy as a tailwind for EUR/SEK given that the ECB is done at 2.0%. However, in the short term, a decision not to cut next week, could weigh on the cross.
- **Flows.** The Swedish savings-investment balance generates net-buying of foreign equities over time, which remains a fundamental headwind for the SEK (see *here* and *here*). There were evidence of repatriation flows in the first few months of 2025, but newly released balance of payments data for Q2 show that the long trend of diversifying into foreign assets has resumed. Other data show that Swedish households have net-bought global and thus implicitly American equities – and US dollars – at an accelerating pace since May, while at the same time have net-sold Swedish equities. The AP funds increased their currency exposure slightly in H1, which was a bit of a surprise.
- **Valuation**. EUR/SEK looks fairly valued around 11 according to relative macro, whereas relative rates indicate upside towards 11.20 near-term.
- **Risks.** A significant and persistent USD rebound could weigh on broad SEK particularly in the near-term, while Swedish economic and asset outperformance would pull in the other direction.

Forecast: 11.00 (1M), 11.20 (3M), 11.30 (6M), 11.40 (12M)



	1M	3M	6M	12M
Danske Bank	11.00	11.20	11.30	11.40
Consensus	11.08	10.99	10.89	10.76
Forward	11.03	11.03	11.03	11.02

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** The SEK has performed well over the last couple of weeks amid constructive global risk sentiment, a generally weaker USD and some positive domestic macro surprises, albeit from depressed levels. As a result, EUR/SEK has decoupled from relative rates and is now clearly on the cheap side of rates-implied fair value, currently at around 11.20. This could in effect contain the downside in EUR/SEK if the RB keeps rates unchanged next week in line with our forecast. More generally, we see the current macro environment with low growth and high inflation as a cyclical headwind for the SEK. Structurally, persistent domestic capital outflows, first and foremost net-savings in foreign equities, which are not countered by increased foreign buying of Swedish bonds for example, constitute a medium- to long-term headwind for the SEK. As such we stick to an upward-sloping profile for EUR/SEK, targeting 11.40 in 12M.

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EUR/NOK – mind the global investment environment

- **Cyclical outlook.** After a very disappointing 2024, mainland growth has picked up this year driven by continued support from the petroleum industries and public demand. Also reduced headwinds from private consumption and construction have aided growth higher – albeit to levels that still seem just below trend potential. Importantly, the labour market has continued to loosen and the recent improvement in activity data has been driven by higher productivity. This in turn has added new downside pressure on the very elevated level of unit labour costs in Norway. While inflation surprised to the topside in August, there are still clear signs of disinflationary tendencies which should contribute to returning inflation closer to target in the coming year.
- **Monetary policy.** At the September monetary policy meeting Norges Bank (NB) delivered its second rate cut in the easing cycle. Meanwhile, the communication was far less dovish than previously, with the central bank indicating a zero percent probability of a cut at the forthcoming three meetings. NB's risk assessment for inflation was an important reason for the hawkish signals. In our view, this in turn paves the way for an eventual turnaround. We now pencil in four quarterly rate cuts in 2026 starting in March which would bring the sight deposit rate back to 3.00%. In our view relative rates will be a negative for NOK FX in the coming years.
- **External balances.** Norway runs a neutral current account balance when adjusting for both petroleum-related exports and oil-fund financed fiscal spending. Meanwhile, on a net international investment position basis Norway still runs a sizable deficit when adjusting for the oil fund. NB has become a marginal net NOK buyer in its daily operations as the Ukraine-support package alongside the new FX reserve transactions have flipped NB's daily interests. Fundamentally, though, it does not change our NOK view.
- **Valuation.** We expect fair value estimates for EUR/NOK to trend higher in the years to come following the relatively higher unit labours costs in Norway and the tightening of real rate gaps.
- **Positioning.** We regard NOK positioning to be long but not stretched so.

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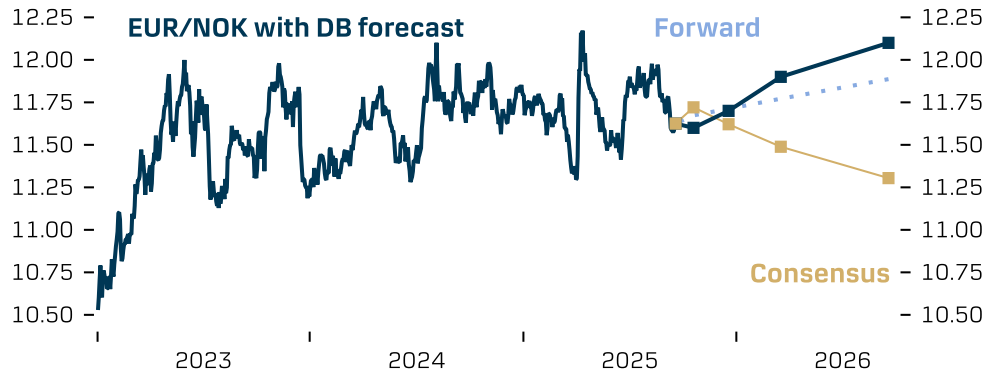
Forecast: 11.60 (1M), 11.70 (3M), 11.90 (6M), 12.10 (12M)



	1M	3M	6M	12M
Danske Bank	11.60	11.70	11.90	12.10
Consensus	11.72	11.62	11.49	11.30
Forward	11.67	11.71	11.77	11.89

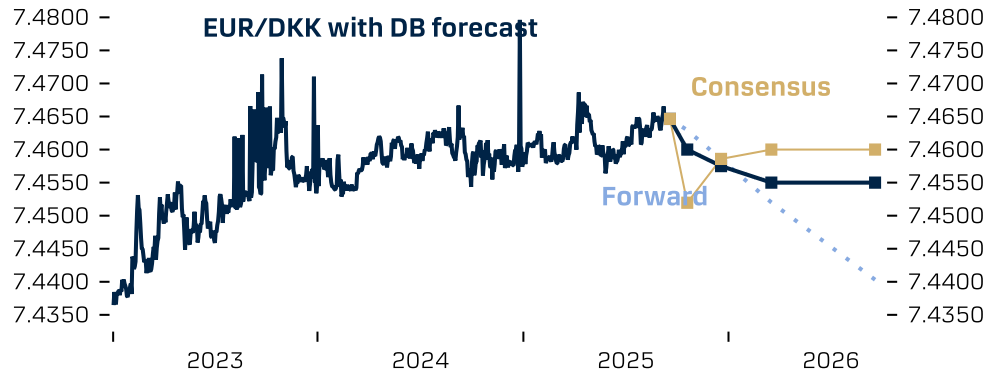
Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Risks are closely connected to the global investment environment and hence USD real rates, commodity prices and the relative performance of European assets vs US. Any supply side developments that could impact energy prices (e.g. Iran/Israel conflict) are also likely to have short-term impacts.
- **Conclusion.** The NOK has enjoyed a strong late-summer cocktail of economic data surprises in Europe, substantially lower USD rates following a Fed focus on the labour market and finally higher NOK rates on markets pricing out NB rate cuts. We think this move increasingly looks overdone and continue to see topside to the cross in the coming years driven by relative unit labour costs and the global investment environment. That leaves us with an upward sloping profile for the cross even if we have lowered the full profile after the latest NOK performance.

EUR/DKK – No spill over from French political uncertainty

- **Cyclical outlook.** The cyclical environment has turned neutral-to-negative for EUR/DKK. Equity markets are recovering, which is negative for EUR/DKK through rebalancing effects. Development in US and in USD/DKK, including developments in tariffs will be important for the earnings potential in the Danish economy considering the significant net exports of pharmaceuticals, but also the large investment in US stocks.
- **Monetary policy.** We now expect the ECB to keep its key policy rate steady at 2.00%, which means we look for Danmarks Nationalbank (DN) to stay on hold at 1.60% thereby maintaining the policy rate spread at -40bp. EUR/DKK trades in the middle of the historic trading range, which suggests that the current interest rate spread is adequate. Hence, should the ECB cut interest rates again, we would expect DN to follow 1:1. Overall, we look for DN to keep EUR/DKK in the 7.43-7.47 range using FX intervention.
- **External balances.** Denmark continues to run a large current account surplus around 10% of GDP with pharmaceutical exports making a big contribution to the trade surplus. It looks unaffected by the trade war so far. The significant surplus which materialises in a large investment need abroad.
- **Valuation.** The strong Danish external balances keep a 'DKK appreciation risk premium' vis-à-vis the EUR in the FX forward curve. Recently, the premium has declined on the back of tighter DKK liquidity conditions and a higher EUR/DKK spot.
- **Positioning.** Recent flow and hedging data from the Danish central bank showed that the domestic life and pension sector reduced its USD hedge below 70% in July. The ratio is still well above the level from the start of the year. The sector has maintained its EUR hedge ratio. If the sector increases hedge ratios again, it will weigh on EUR/DKK.

Forecast: 7.4600 (1M), 7.4575 (3M), 7.4550 (6M), 7.4550 (12M)



	1M	3M	6M	12M
Danske Bank	7.4600	7.4575	7.4550	7.4550
Consensus	7.4520	7.4586	7.4600	7.4600
Forward	7.4629	7.4585	7.4520	7.4403

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** EUR/DKK remains exposed to large movements in equity and fixed income markets via the FX hedge rebalancing effect. US equity outperformance will tend to keep EUR/DKK low, while higher long-term bond yields will support a higher EUR/DKK. Political uncertainty in France and fiscal shift in Germany may, over time, put strong Danish macroeconomic balances in an even better light. For now, the former has had little effect on the pair.
- **Conclusion.** We look for EUR/DKK to trade around the 7.4600 level near-term as global risk sentiment is likely to stay fragile. We see potential for fundamentals and positioning to drag it further down towards 7.4550 level on 12M. Liquidity conditions have eased and will ease further the coming months, which keeps FX forwards low.

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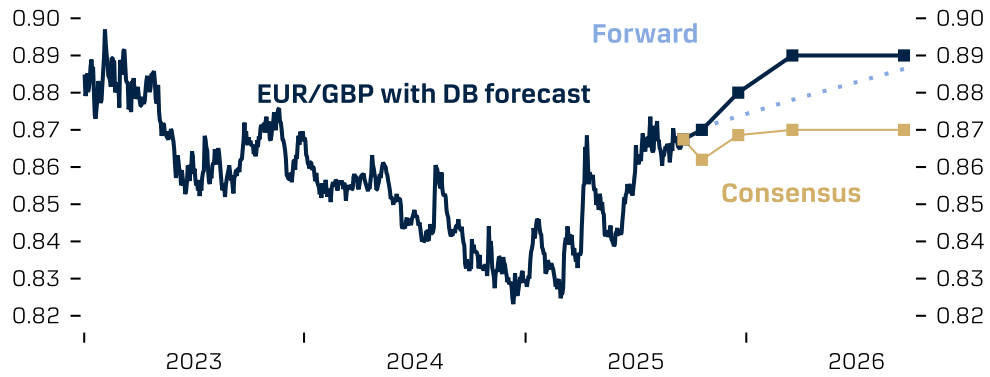
Overview | USD | SEK | NOK | DKK | GBP | JPY | CHF | PLN | AUD | CAD | CNY | Oil | Tables

EUR/GBP – headwinds for GBP

- **Cyclical outlook**. The notion of a continued modest recovery continues in the UK. This is supported by solid PMI data, particularly for services, while manufacturing remains quite weak. However, the underlying growth drivers remain to the weak side. Growth in the Q2 was largely driven by public spending and retail sales were revised significantly lower for H1. We think fiscal tightening will act as a headwind the coming quarters. The labour market continues its gradual loosening although wage growth remains elevated. The key concern for the Bank of England (BoE) is elevated inflation, where goods inflation has started to pick up in recent months while service inflation remains above 4%. Combined with a muted growth outlook and a weakening labour market, this leaves a tricky backdrop for the BoE.
- **Monetary policy**. The BoE decided to keep the Bank Rate unchanged at 4.00% in September, in line with expectations. While the guidance signalling a "careful and gradual" cutting cycle remains in place, Governor Bailey noted that the timing and scale of cuts was now more uncertain than before the August meeting. While we continue to expect the BoE to deliver the next cut in the Bank Rate in November, we acknowledge that this hinges on further disinflationary process. We expect the Bank Rate to end 2026 at 3.50%. We see relative rates as a slight positive for EUR/GBP.
- **External balances.** The UK runs a large current-account deficit, which makes GBP vulnerable when capital inflows fade; this keeps GBP at risk vs EUR in the wake of souring global risk appetite.
- **Valuation.** Our Brexit-corrected MEVA estimate for EUR/GBP is around 0.83 and current levels are thus close to fair-value.
- **Positioning.** Non-commercial positioning is neutral EUR/GBP.
- **Risks.** The key risk to seeing EUR/GBP trade substantially higher than our forecast is a sharp sell-off in global risk and/or renewed focus on the UK's fragile fiscal position. Other risks are closely related to the developments in the relative growth outlook between the euro area and the UK.

Forecast: 0.87 (1M), 0.88 (3M), 0.89 (6M), 0.89 (12M)



	1M	3M	6M	12M
Danske Bank	0.87	0.88	0.89	0.89
Consensus	0.86	0.87	0.87	0.87
Forward	0.87	0.87	0.88	0.89

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** Since our last update, EUR/GBP has been fairly rangebound trading around the 0.87 mark. We see domestic factors and the relative growth outlook between the UK and the euro area as becoming GBP negatives. This is further amplified by divergence in the fiscal policy outlook with UK fiscal policy set to be tightened in the Autumn. Additionally, a global investment environment characterised by elevated uncertainty, widening credit spreads and a positive correlation to a USD negative environment, in our view, favours a weaker GBP. We forecast EUR/GBP to move higher towards 0.89 on a 6-12-month horizon.

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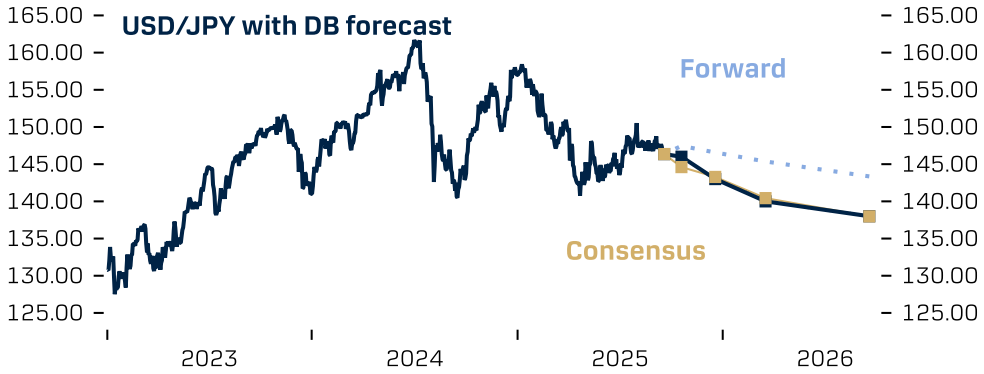
USD/JPY – downward path hinges on the Fed's cutting cycle

- **Cyclical outlook.** The Japanese economy remains relatively resilient, with Q2 GDP growth revised higher to 0.5% q/q and 2.2% annualized. Exports were particularly strong, likely supported by orders placed ahead of tariff deadlines, suggesting these gains are largely one-offs. That said, private spending also edged slightly higher despite headwinds from food inflation, and capex was solid. The 4 Oct LDP leadership vote keeps a political risk premium embedded in JPY, though much of this looks priced. Encouragingly, reports suggest the Bank of Japan (BoJ) is still considering a 25bp hike despite the political backdrop. We continue to expect domestic demand to firm in H2, underpinned by positive real wage growth. Until now, data has reflected the significant loss of purchasing power as food prices surged and spring wage hikes have yet to feed through.
- **Monetary policy.** The BoJ kept the policy rate unchanged at 0.50% at its September meeting, in line with expectations. The BoJ continues to err on the side of caution, citing global uncertainty, but with the US–Japan trade deal in place and domestic political uncertainty receding, the focus is shifting back to data. Reports that the BoJ could move ahead with a 25bp hike as early as October – in line with our call – recently caught markets off guard. Pricing has long implied a two-thirds chance of another 2025 hike. For USD/JPY, however, we continue to stress that the Fed's cutting cycle remains the dominant driver from a monetary policy perspective.
- **External balances.** The Japanese trade balance, along with terms of trade, has improved markedly since reaching historical lows after the pandemic. Falling imports and rising exports this year have nearly closed the gap caused by the pandemic. The tourism sector appears to be rebounding, which could add some JPY demand to the market.
- **Positioning.** Speculators are stretched long positioned in the JPY.
- **Risks.** The main risk to our forecast is stronger-than-expected US data, which could delay Fed cuts or reverse the US asset sell-off. An energy shock from geopolitical tensions could also pose upside risk.

Forecast: 146 (1M), 143(3M), 140 (6M), 138 (12M)



	1M	3M	6M	12M
Danske Bank	146	143	140	138
Consensus	145	143	140	138
Forward	147	147	145	143

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** While much of the JPY strength from the first half of the year has partially unwound – despite tighter long-end US–Japan rate differentials – we expect the remainder of the year to be broadly supportive for the yen. The Fed appears increasingly likely to resume its easing cycle, delivering several additional cuts over the coming year, even if the BoJ stays on hold. With global trade uncertainty receding, market focus should shift back to incoming data, where the tail risk of a faster-than-expected US slowdown could weigh heavily on USD/JPY. Easing political uncertainty in Japan could provide an additional layer of support for the yen.

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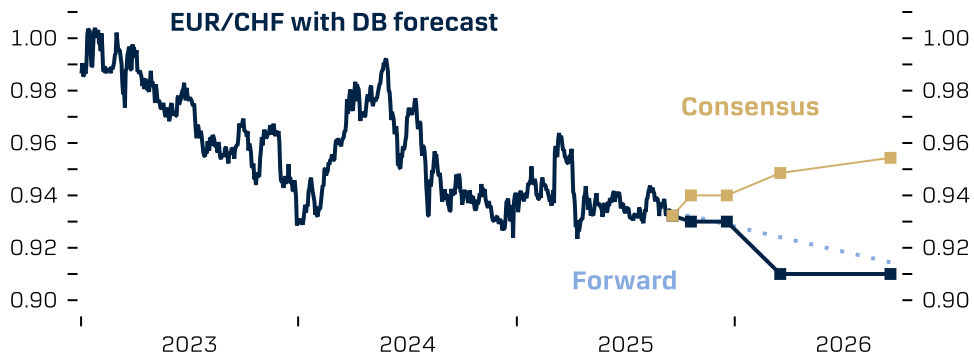
EUR/CHF

Forecast: 0.93 (1M), 0.92 (3M), 0.91 (6M), 0.91 (12M)

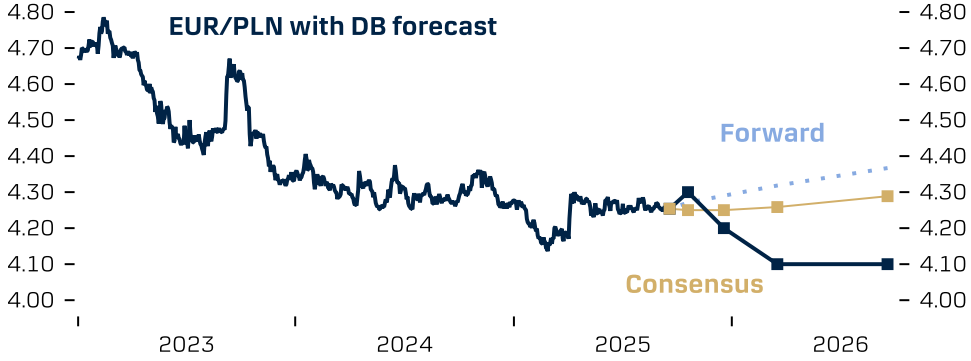


Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- The past month, pressure has eased off the CHF and EUR/CHF is back trading below the 0.94 mark. We continue to be bearish on EUR/CHF, targeting a sustained move towards 0.91 in 6-12 months.
- As expected, the Swiss National Bank (SNB) cut the policy rate to 0% in June, which we think marks the final cut this cycle. This view was further underscored by a slight tick-up in inflation over the past months to just above 0% y/y. Combined with strong fundamentals, we think persistently diverging price levels favour a stronger CHF via the PPP. Additionally, a global investment environment characterised by weak global growth and elevated uncertainty benefits CHF.
- The biggest risks to this call are aggressive FX intervention from the SNB to weaken the CHF and US trade policy hitting Swiss growth substantially. Finally, a U-turn on the policy outlook in the US, which could trigger substantially lower policy uncertainty.

EUR/PLN

Forecast: 4.30 (1M), 4.20 (3M), 4.10 (6M), 4.10 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- The National Bank of Poland (NBP) cut interest rates by 25bp at their September meeting, taking the key rate to 4.75%. Like pretty much all other central banks, they reiterated their data dependent stance, however emphasizing that loose fiscal policy and elevated wage growth remain as risk factors for the inflation outlook. Nevertheless, according to Governor Glapinski, there is a 'cautious will' within the Board to cut rates even further, and we expect at least one more cut during Q4. Should the Polish government opt to extend the freeze on power prices, currently set to lapse on 30 September, that would 'change a lot' in Glapinski's view, opening the door for a cut potentially already at the October meeting.
- EUR/PLN remains within the 4.20-4.30 trading range, centered around 4.25, which has held for soon to be 6 months. The cross struggles to find clear direction amid domestic and geopolitical risks on the one hand, and a robust economic and asset performance on the other. With no fundamental changes to the outlook, we keep our forecast profile intact seeing further consolidation in the near-term followed by a gradual strengthening of the Zloty.

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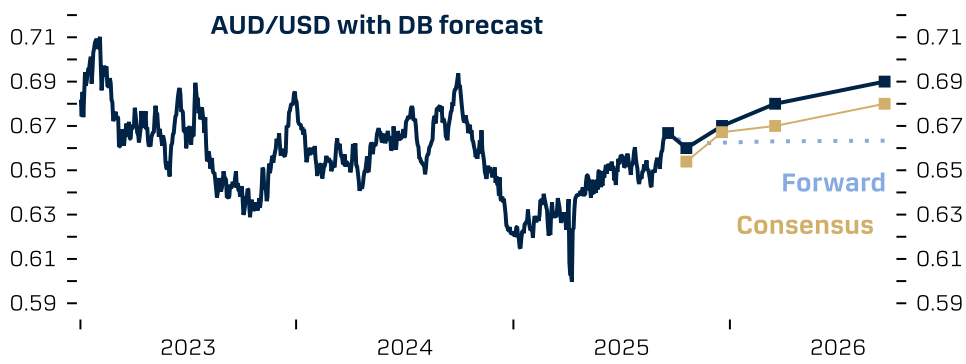
AUD/USD

Forecast: 0.66 (1M), 0.67 (3M), 0.68 (6M), 0.69 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- AUD/USD has trended higher over the past month, as growing hopes for rate cuts in the US have both weighed on the broad USD and supported cyclically sensitive currencies, such as the AUD.
- The Reserve Bank of Australia (RBA) cut its policy rate by 25bp in August, as widely expected. Markets expect RBA to remain on hold in its next meeting at the end of September before resuming rate cuts in either November or December. The latest data on employment growth was disappointing, but as the decline in jobs was matched by a similar decline in participation rate, the labour market balance remains stable.
- Australia's terms of trade have improved modestly as prices of industrial metals have recovered. That said, growth signals from key export market China remain lacklustre. We expect the Fed to cut rates somewhat slower than markets anticipate, which could dampen the latest rally in the cross, but we still maintain our upward-sloping forecast profile.

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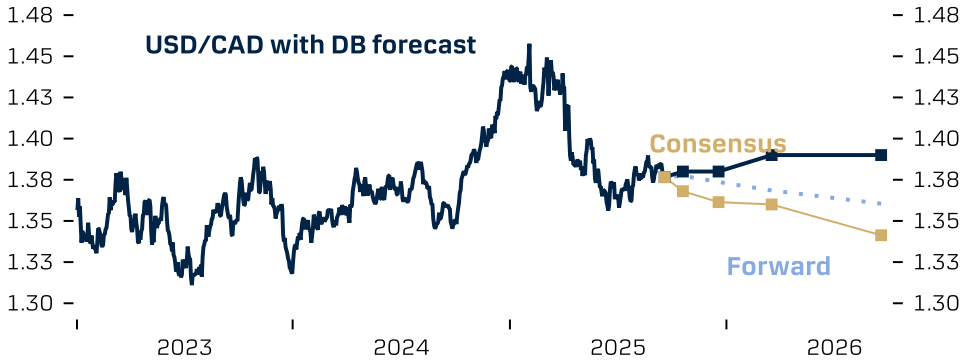
USD/CAD

Forecast: 1.38 (1M), 1.38 (3M), 1.39 (6M), 1.39 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- The cross has been remarkable stable in recent months despite the strong performance of cyclically sensitive currencies. To us this highlights the strong connection of the Canadian economy to that of the US which – despite the ongoing trade uncertainty – is likely to limit CAD's trading patterns away from the USD.
- In the very near-term we see topside risk to short-end USD rates which given the front-loaded nature of Bank of Canada's (BoC) easing cycle could add some support to the cross. We factor in one additional rate cut from BoC in December – which is slightly more than current market pricing. As such relative rates are likely to continue to add support to the cross.
- USD/CAD remains a less volatile version of USD/NOK with long-term drivers weighing on the CAD. Going forward, the cross will thus largely be a derivative of the state of the US economy, how cyclically sensitive assets perform globally and relative monetary policy.

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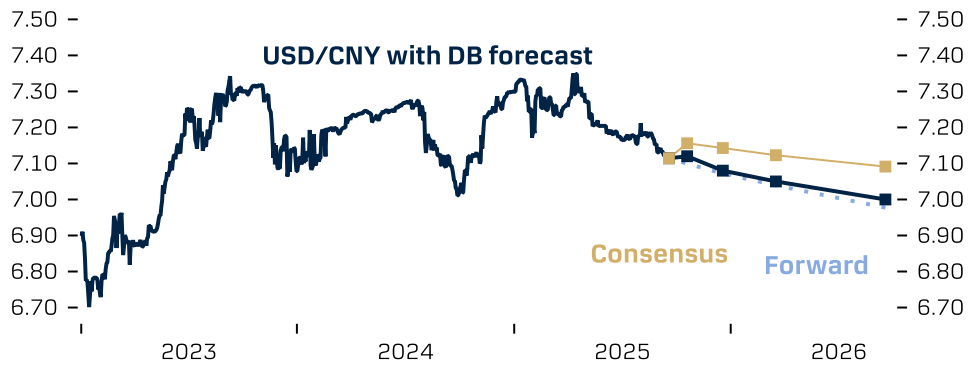
USD/CNY – falling trend to continue

- **CNY the past month.** After trading sideways for some months, USD/CNY has declined over the past month from 7.18 to around 7.10 on USD weakening and the People's Bank of China (PBOC) moving the fixing lower.
- **Growth outlook.** Economic data was mixed in August with PMIs improving but domestic demand weakening further. Both housing and retail sales continued a downward trend. Exports are doing fine, and China is moving fast on the tech front. The latter has lifted equities further. We look for stimulus to be stepped up soon driving a lift in growth towards the end of the year. GDP growth was 5.3% in the first half of the year. We look for a moderate stimulus driven recovery in the first half of 2026 after a setback in the second half of 2025.
- **Monetary policy.** PBOC cut the policy rate by 10bp and reduced the Reserve Requirement Ratio for banks by 50bp on 6 May but has stayed put since then. Fed easing and recent CNY appreciation provides new room for easing monetary policy. We expect PBOC to ease policy again in Q4, but it may be with targeted measures to specific sectors rather than broad based rate cuts as they are concerned over the risk of a liquidity-fuelled equity bubble in the A-share market.
- **FX policy**. Since summer 2023, PBOC has used the USD/CNY fixing more actively and with the recent decline in the fixing, PBOC sends a signal it would like to see a gradual appreciation of the yuan alongside the overall weakening of the USD. The fixing sets the middle of the +/-2% daily trading band. While the nominal trade weighted currency is broadly flat the real trade weighted currency is down by around 20% over the past 3-4 years.
- **Flows.** China has a current account surplus of 2% of GDP driven by a high and rising goods trade surplus close to 7% of GDP. The service balance is negative, though, due to a pick-up in outbound tourists. Net FDI is clearly negative as inbound FDI is weakening while outbound FDI has increased as Chinese companies go global (EV, battery, solar companies etc.) and also increasingly invest in Southeast Asia where tariff rates to the US are lower.

Forecast: 7.12 (1M), 7.08 (3M), 7.05 (6M), 7.0 (12M)



	1M	3M	6M	12M
Danske Bank	7.12	7.08	7.05	7.00
Consensus	7.16	7.14	7.12	7.09
Forward	7.10	7.07	7.04	6.98

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Valuation.** With a continuously rising trade surplus and depreciation of the real currency, the CNY looks increasingly undervalued in the long run.
- **Risks.** The uncertainty to the outlook is high due to unpredictability of Trump's policies and uncertainty over how much appreciation of CNY PBOC will tolerate. In the medium term an upside risk to USD/CNY is the potential forming of an equity bubble, which could subsequently burst and cause instability and capital outflows as seen in 2015/16.
- **Conclusion.** We lower our forecast and now see a bigger decline on a 12M horizon towards 7.00 (previous 7.12). Broad dollar weakening and rising willingness by PBOC to see CNY strengthening are the main drivers. Our forecast implies a further rise in EUR/CNY which is in line with a continued high correlation between EUR/USD and EUR/CNY.

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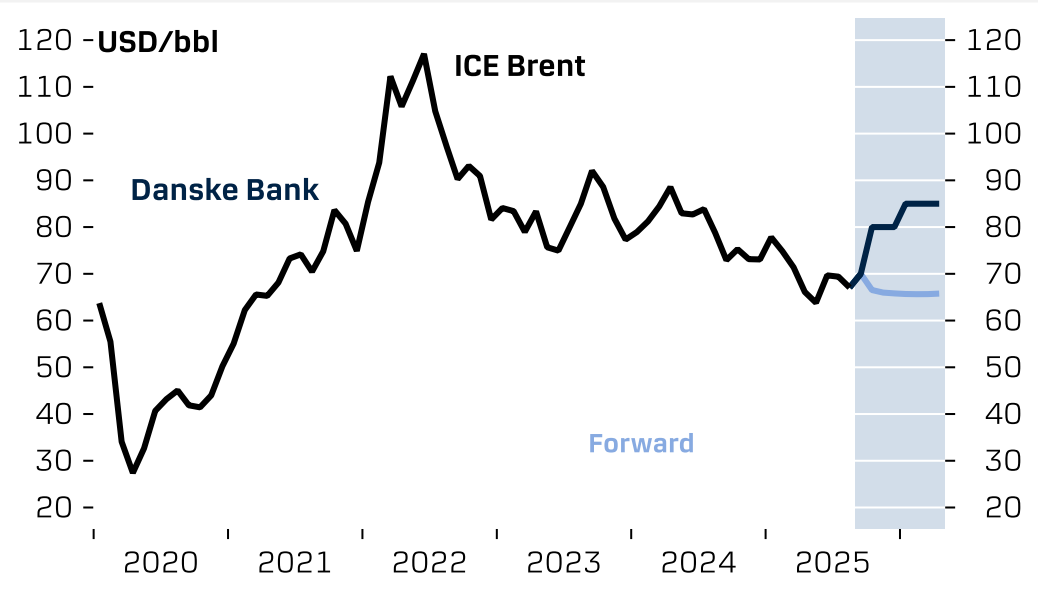
Oil – OPEC+ continues to keep prices low

- **Macro.** OPEC+ announced another, albeit smaller, output hike for October – the seventh in a row and likely the final hike this time around. The swift rise of OPEC+ production has added to global oil supply. The cartel has room to hike output further and will likely do so in the coming years with the risk that output increases will continue to be front-loaded.
- Saudi Arabia sharply increased its oil output in June, which likely explains why oil prices did not increase more than they did following the escalation of the conflict between Israel and Iran. It proves that strong automatic stabilisers are present in the oil market right now and help mitigate the impact, e.g. from geopolitical uncertainty. The US has continued buying oil for its strategic reserves but could also halt these purchases if global oil supply was hit and likewise increase purchases if prices fall too much.
- Tensions in the Middle East continue to make headlines, but with little impact on global oil supply. Geopolitics is not the only thing that matters for the oil market. The market awaits the impact of US tariff hikes on global trade and oil demand, which would further weigh on oil prices.
- Finally, economic growth, among other places in the US, is at risk of slowing, but the Federal Reserve will likely cut interest rates to the extent necessary to keep the economy from falling into a recession.
- **Risks.** The risks to our oil price forecast are high – in particular in the short-term, where the outcome space for the conflict in the Middle East and trade talks remains wide. There is also a chance that Russia's energy exports might be hit by more sanctions.
- **Conclusion.** We look for Brent to average USD70/bbl in Q3, USD80/bbl in Q4 and further USD85/bbl next year. The rise over the coming year reflects a reversion to a more normal level for the oil output as we do not expect the current level of prices will be sustainable over the medium term.

Forecast: 70 (Q3), 80 (Q4), 85 (2026)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

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Danske Bank FX forecasts vs EUR

G10				Last Update:	19/09/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs EUR					
EUR/USD	1.18	1.17	1.19	1.21	1.23
EUR/JPY	174	171	170	169	170
EUR/GBP	0.87	0.87	0.88	0.89	0.89
EUR/CHF	0.93	0.93	0.93	0.91	0.91
EUR/SEK	11.03	11.00	11.20	11.30	11.40
EUR/NOK	11.66	11.60	11.70	11.90	12.10
EUR/DKK	7.4641	7.4600	7.4575	7.4550	7.4550
EUR/AUD	1.78	1.77	1.78	1.78	1.78
EUR/NZD	2.01	1.95	1.95	1.95	1.95
EUR/CAD	1.63	1.61	1.64	1.68	1.71
EM					
	Spot	+1m	+3m	+6m	+12m
EUR/PLN	4.26	4.30	4.20	4.10	4.10
EUR/HUF	389	390	400	420	420
EUR/CZK	24.3	24.3	24.3	24.2	24.2
EUR/TRY	48.8	49.0	51.4	54.5	59.9
EUR/ZAR	20.4	20.3	20.6	20.9	21.1
EUR/CNY	8.37	8.33	8.43	8.53	8.61
EUR/INR	103.9	101.8	104.1	106.5	109.5

Source: Danske Bank

Danske Bank FX forecasts vs DKK

G10				Last Update:	19/09/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs DKK					
USD/DKK	6.34	6.38	6.27	6.16	6.06
JPY/DKK	4.29	4.37	4.38	4.40	4.39
GBP/DKK	8.56	8.57	8.47	8.38	8.38
CHF/DKK	7.98	8.02	8.02	8.19	8.19
SEK/DKK	0.68	0.68	0.67	0.66	0.65
NOK/DKK	0.64	0.64	0.64	0.63	0.62
EUR/DKK	7.4641	7.4600	7.4575	7.4550	7.4550
AUD/DKK	4.18	4.21	4.20	4.19	4.18
NZD/DKK	3.72	3.83	3.82	3.82	3.82
CAD/DKK	4.59	4.62	4.54	4.43	4.36
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/DKK	1.75	1.73	1.78	1.82	1.82
HUF/DKK	0.19	0.19	0.19	0.18	0.18
CZK/DKK	0.31	0.31	0.31	0.31	0.31
TRY/DKK	0.15	0.15	0.15	0.14	0.12
ZAR/DKK	0.37	0.37	0.36	0.36	0.35
CNY/DKK	0.89	0.90	0.89	0.87	0.87
INR/DKK	0.072	0.073	0.072	0.070	0.068

Source: Danske Bank

Danske Bank FX forecasts vs SEK

G10				Last Update:	19/09/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs SEK					
USD/SEK	9.37	9.40	9.41	9.34	9.27
JPY/SEK	6.34	6.44	6.58	6.67	6.72
GBP/SEK	12.66	12.64	12.73	12.70	12.81
CHF/SEK	11.80	11.83	12.04	12.42	12.53
EUR/SEK	11.03	11.00	11.20	11.30	11.40
NOK/SEK	0.95	0.95	0.96	0.95	0.94
DKK/SEK	1.48	1.47	1.50	1.52	1.53
AUD/SEK	6.19	6.21	6.31	6.35	6.40
NZD/SEK	5.50	5.64	5.74	5.79	5.84
CAD/SEK	6.79	6.81	6.82	6.72	6.67
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/SEK	2.59	2.56	2.67	2.76	2.78
HUF/SEK	2.83	2.82	2.80	2.69	2.71
CZK/SEK	0.45	0.45	0.46	0.47	0.47
TRY/SEK	0.23	0.22	0.22	0.21	0.19
ZAR/SEK	0.54	0.54	0.54	0.54	0.54
CNY/SEK	1.318	1.320	1.329	1.325	1.324
INR/SEK	0.106	0.108	0.108	0.106	0.104

Source: Danske Bank

Danske Bank FX forecasts vs NOK

G10				Last Update:	19/09/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs NOK					
USD/NOK	9.91	9.91	9.83	9.83	9.84
JPY/NOK	6.70	6.79	6.88	7.02	7.13
GBP/NOK	13.38	13.33	13.30	13.37	13.60
CHF/NOK	12.47	12.47	12.58	13.08	13.30
SEK/NOK	1.06	1.05	1.04	1.05	1.06
EUR/NOK	11.66	11.60	11.70	11.90	12.10
DKK/NOK	1.56	1.55	1.57	1.60	1.62
AUD/NOK	6.54	6.54	6.59	6.69	6.79
NZD/NOK	5.81	5.95	6.00	6.10	6.20
CAD/NOK	7.17	7.18	7.12	7.08	7.08
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/NOK	2.74	2.70	2.79	2.90	2.95
HUF/NOK	2.99	2.97	2.93	2.83	2.88
CZK/NOK	0.48	0.48	0.48	0.49	0.50
TRY/NOK	0.24	0.24	0.23	0.22	0.20
ZAR/NOK	0.57	0.57	0.57	0.57	0.57
CNY/NOK	1.39	1.39	1.39	1.39	1.41
INR/NOK	0.11	0.11	0.11	0.11	0.11

Source: Danske Bank

Danske Bank FX forecasts vs USD

G10				Last Update:	19/09/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs USD					
EUR/USD	1.18	1.17	1.19	1.21	1.23
USD/JPY	148	146	143	140	138
GBP/USD	1.35	1.34	1.35	1.36	1.38
USD/CHF	0.79	0.79	0.78	0.75	0.74
USD/SEK	9.37	9.40	9.41	9.34	9.27
USD/NOK	9.91	9.91	9.83	9.83	9.84
USD/DKK	6.34	6.38	6.27	6.16	6.06
AUD/USD	0.66	0.66	0.67	0.68	0.69
NZD/USD	0.59	0.60	0.61	0.62	0.63
USD/CAD	1.38	1.38	1.38	1.39	1.39
EM					
	Spot	+1m	+3m	+6m	+12m
USD/PLN	3.62	3.68	3.53	3.39	3.33
USD/HUF	331	328	336	347	341
USD/CZK	20.64	20.77	20.42	20.00	19.67
USD/TRY	41.39	41.90	43.20	45.00	48.70
USD/ZAR	17.36	17.35	17.32	17.27	17.17
USD/CNY	7.11	7.12	7.08	7.05	7.00
USD/INR	88.28	87.00	87.50	88.00	89.00

Source: Danske Bank

Danske Bank FX forecasts vs GBP

G10				Last Update:	19/09/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs GBP					
GBP/USD	1.35	1.34	1.35	1.36	1.38
GBP/JPY	200	196	193	190	191
EUR/GBP	0.87	0.87	0.88	0.89	0.89
GBP/CHF	1.07	1.07	1.06	1.02	1.02
GBP/SEK	12.66	12.64	12.73	12.70	12.81
GBP/NOK	13.38	13.33	13.30	13.37	13.60
GBP/DKK	8.56	8.57	8.47	8.38	8.38
GBP/AUD	2.05	2.04	2.02	2.00	2.00
GBP/NZD	2.30	2.24	2.22	2.19	2.19
GBP/CAD	1.86	1.86	1.87	1.89	1.92
EM					
	Spot	+1m	+3m	+6m	+12m
GBP/PLN	4.89	4.94	4.77	4.61	4.61
GBP/HUF	447	448	455	472	472
GBP/CZK	27.87	27.93	27.61	27.19	27.19
GBP/TRY	55.94	56.35	58.42	61.18	67.30
GBP/ZAR	23.44	23.33	23.42	23.48	23.73
GBP/CNY	9.60	9.58	9.57	9.58	9.67
GBP/INR	119.19	117.00	118.32	119.64	123.00

Source: Danske Bank

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